

METAL VIEWS

Copper Our Favourite Industrial Metal as Supply Lowers Prices of Aluminium/Lithium/Iron Ore

- Industrial metals prices have rallied this year, with copper reaching an all-time high above \$11,200/t, aluminium reaching a three-year high, and even lithium prices moving higher off the five-year low. While US Fed rate cuts, dollar depreciation, and improving China growth expectations have lifted prices across the complex, supply disruptions, policy changes (US tariffs, China anti-involution) and the AI capex boom have provided a further boost.
- For 2026, we hold a selective outlook for industrial metals. Copper is our 'favourite' industrial metal as constrained mine supply growth and structural demand growth from grid & power infrastructure move the market towards balanced in 2026, from oversupplied in 2025. Additionally, higher ex-US premia and conversations with physical traders point to a larger-than-expected reacceleration of copper flows into the US in H1 2026 ahead of a potential tariff, which should further tighten the ex-US market. As a result, we lift our average H1 2026 LME copper price forecast to \$10,710 (from \$10,415).
- Meanwhile, strong supply growth – largely as a result of Chinese overseas investments – drives our bearish price forecasts for aluminium, lithium and iron ore. We forecast that prices will decline by 18%/23%/17% from spot by end-2026.
- For aluminium, we maintain our forecast for the LME price to decline to \$2,350/t by Q4 2026 as current prices incentivise too much new supply (particularly from Indonesia) relative to demand. Potential switching from aluminium to steel in the autos sector adds to the downside price risk.
- As we expect the copper-aluminium price ratio to reach new highs, we continue to recommend going long copper, short aluminium (Dec-27).
- While we recently raised our H1 2026 lithium price forecast due to stronger-than-expected energy storage systems (ESS) demand, we see prices declining 23% from spot by end-2026 as supply growth from Africa and Australia and the restart of previously shut Chinese supply ease market tightness.
- Fundamentals in the iron ore market have loosened substantially in recent months, and we expect port stocks to rise by 51Mt next year as new Guinean supply adds to this year's growth from Australia and Brazil, pushing prices lower.

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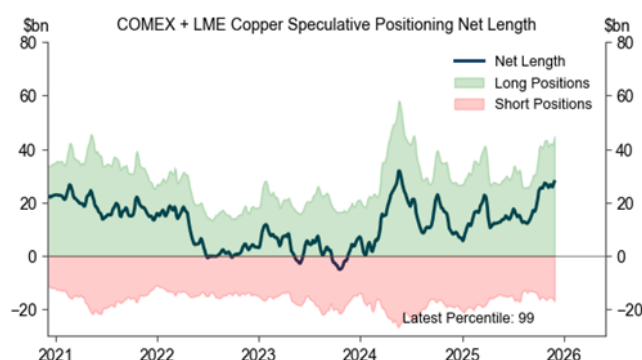
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Copper Our Favourite Industrial Metal as Supply Lowers Prices of Aluminium/Lithium/Iron Ore

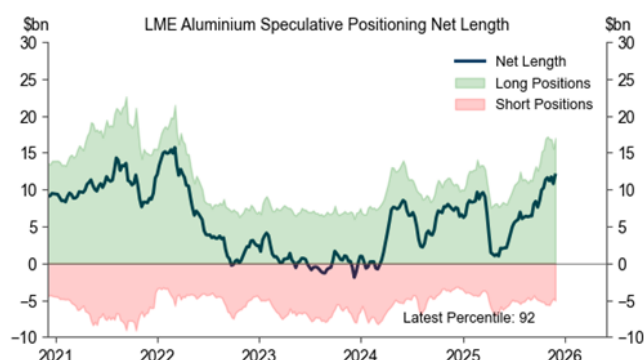
Industrial metals prices have rallied this year, with copper reaching an all-time high of over \$11,200/t, aluminium reaching a three-year high, and even lithium prices moving higher off the five-year low. While US Fed rates cuts, dollar depreciation, and improving China growth expectations have lifted prices across the complex, supply disruptions, policy changes (US tariffs, China anti-involution) and the AI capex boom have provided a further boost. These events have fueled speculative involvement in metals markets, with speculative net length in copper ([Exhibit 1](#)) and aluminium ([Exhibit 2](#)) now close to historical highs, despite most metals markets being either balanced or in surplus this year ([Exhibit 3](#)).

Exhibit 1: Copper Speculative Net Length is Close to the Q2 2024 Peak



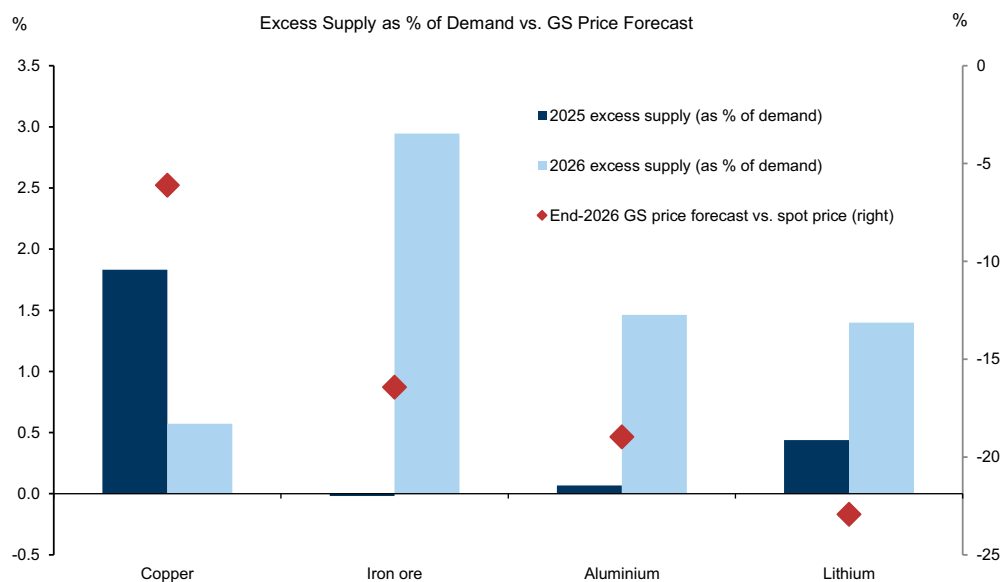
Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 2: Aluminium Speculative Net Length is Also Stretched



Source: Bloomberg, Goldman Sachs Global Investment Research

Exhibit 3: We Forecast Substantial Price Declines Across Aluminium, Iron Ore and Lithium in 2026 as All Three Markets Move Into Surplus

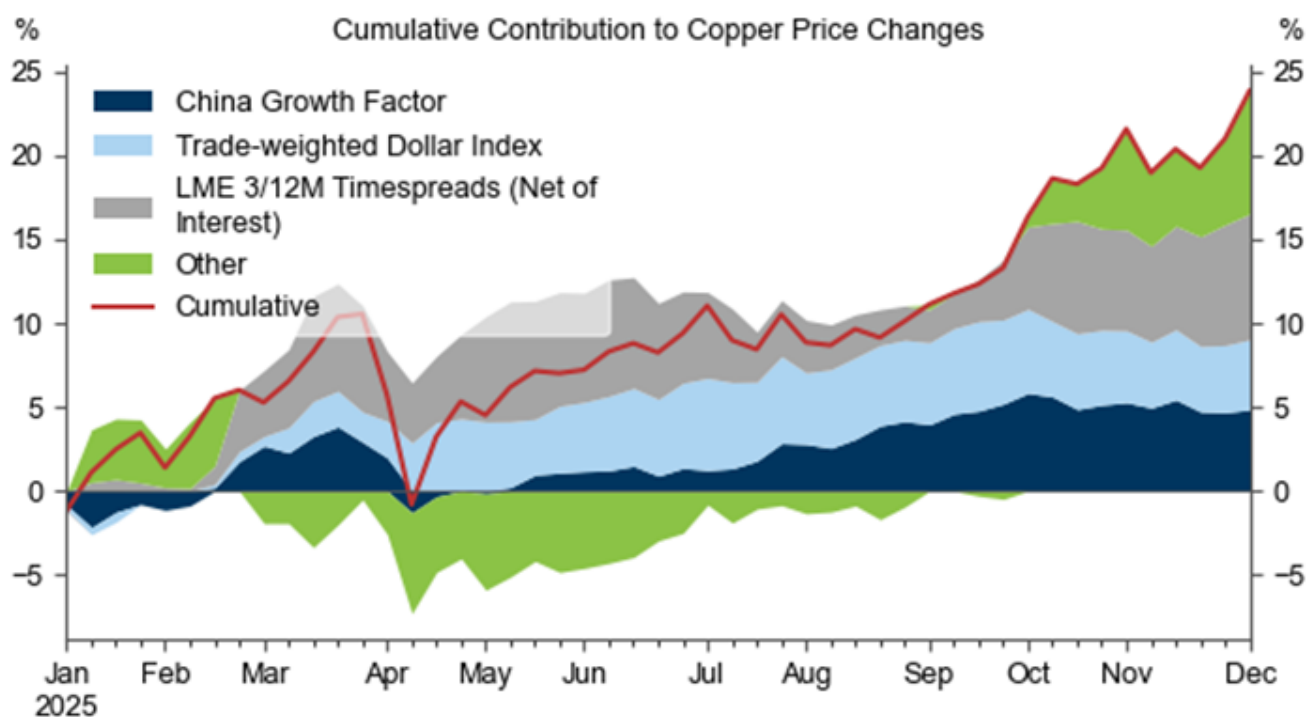


Copper and aluminium are refined supply and demand. Iron ore is seaborne traded balance & demand. Lithium balance is as a % of global demand, including restocking demand.

Source: Bloomberg, Goldman Sachs Global Investment Research

For 2026, we hold a selective outlook for industrial metals. Copper is our ‘favourite’ industrial metal, and we expect the LME price to stay supported at the top end of our \$10,000–\$11,000 forecast range in 2026 as strong global demand growth from the grid & power infrastructure, backed by investment in strategic sectors such as AI and defence, provides a floor under the copper price at \$10,000. That said, we do not expect the market to enter a period of material tightness until the end of the decade. Already-stretched speculative length means that we do not expect the current breakout above \$11,000 to be sustained (as was the case in October). Most of the recent price increase has been driven by expectations of future market tightness, rather than current fundamentals ([Exhibit 4](#))¹, and we have revised our 2025 copper surplus to 500kt (vs. 215kt previously) due to weak Chinese demand in Q4 2025.

Exhibit 4: Much of the Recent Copper Price Increase is Based on Expectations of Future Market Tightness



Model decomposition of weekly copper price changes regressed on changes in the GS Alternate China Growth Factor, the LME 3-month/12-month timespread (net of interest rate effect), and the trade-weighted Dollar Index (DXY). The GS Alternate China Growth Factor (Ex-Copper) is constructed as the first principal component of A- and H-shares, and the first principal component of short- and long-term Chinese rates. “Other” captures the regression residual and constant term. The regression is estimated over 2024–2025 weekly data up to the week ending 28 November 2025. Contributions are shown cumulatively from January 2025 onwards.

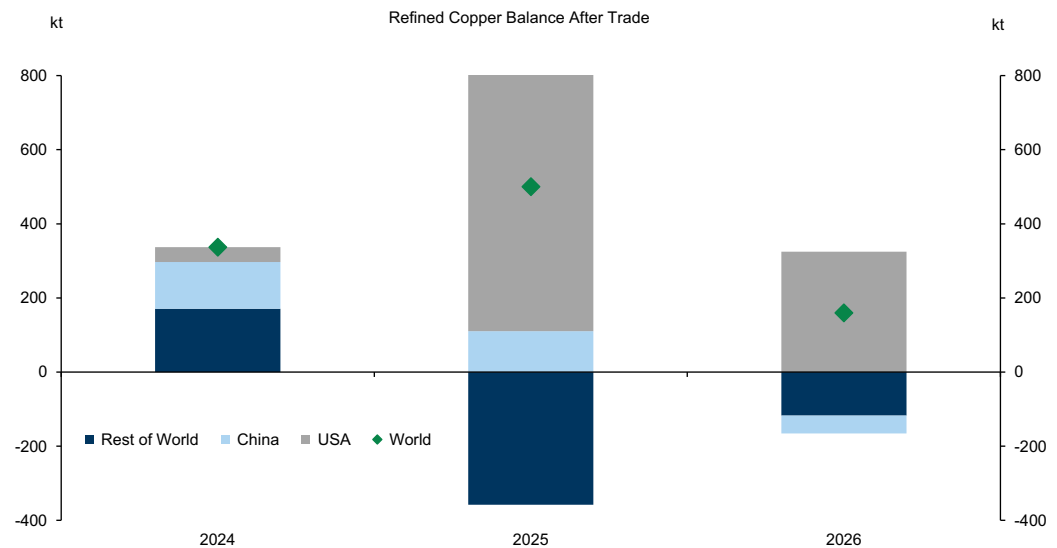
Source: Bloomberg, Goldman Sachs Global Investment Research

Nevertheless, even though the copper market is starting from a looser point than we previously expected, it is the only market that we see moving from surplus towards balanced in 2026. Furthermore, any stock build in 2026 is likely to take place in the US. We have previously flagged upside price risk from reaccelerating copper inflows into the US ahead of a potential refined copper tariff announcement, tightening the rest of world market. We think that this risk is likely to become reality as higher ex-US premia and conversations with physical traders point to traders agreeing full-year 2026 deals with

¹ The price increase being driven by ‘other’ implies that it is driven by future market expectations as it cannot be explained by changes in the China growth factor, DXY or LME timespreads.

producers at high premiums, securing volumes ahead of consumers. This will likely allow for a steady flow of metal into the US in 2026, tightening the rest of world market ([Exhibit 5](#)). For example, today's (3 December) copper price rally has been driven by LME cancellations, which are likely to free up metal to deliver to the US. We therefore lift our average H1 2026 LME copper price forecast to \$10,710 (vs. \$10,415 prior), but expect a small correction in H2 as our base case is that, following a recommendation from the US Commerce Secretary by end-June 2026, a refined copper tariff of at least 25% will be quickly implemented in the US (with a risk of earlier implementation if a copper tariff is announced as part of the critical mineral Section 232 investigation actions).

Exhibit 5: We Expect US Copper Stocks to Build Further in 2026, Tightening the ex-US Market



Source: CRU, Wood Mackenzie, Goldman Sachs Global Investment Research

Meanwhile, we expect the aluminium, lithium, and iron ore markets to move from balanced this year into surplus in 2026 ([Exhibit 3](#)), and therefore forecast prices to decline by 18%/23%/17% respectively over the next twelve months. While copper faces mine supply constraints, we see plenty of relatively low-cost supply coming across these three markets. This supply growth is driven by Chinese-owned projects overseas, including the Simandou iron ore project in Guinea, Indonesian aluminium supply growth and spodumene supply growth from Africa (as well as recovering Chinese domestic lepidolite output). These investments are likely driven by China seeking to secure access to resources as domestic reserves deplete. While we expect iron ore to be in the largest surplus (relative to demand) next year, we see the biggest price declines for aluminium and lithium as the recent rallies reverse.

China Sticks With What Works, Driving Global Metals Demand Growth In 2026

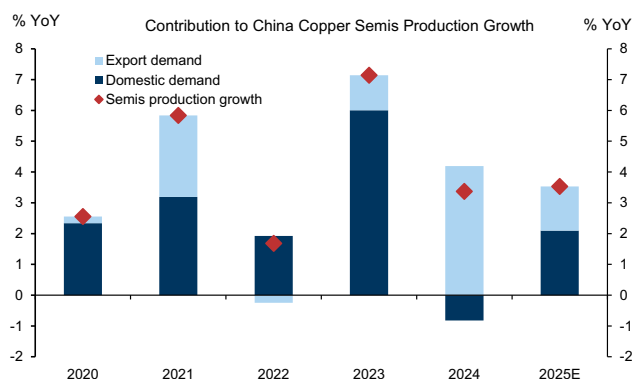
Our global end-demand forecasts for copper and aluminium remain largely unchanged for 2026 at +2.4% and +1.9% respectively (vs. 1.9%/2.1% previously), as support from stronger China manufacturing is partially offset by weaker manufacturing demand elsewhere.

First, we revise up our 2026 China end-demand growth forecasts for copper and

aluminium to +2.8%/+2.4% respectively (vs. 1.4%/1.6% previously), reflecting stronger China economic growth expectations. Our economists recently upgraded their China real GDP growth forecast to 4.8%/4.7% in 2026/2027 (vs. 4.3%/4.0% previously), primarily due to stronger export growth expectations. Chinese demand for both metals has slowed substantially in recent months; copper apparent demand was -9% YoY in October, while aluminium demand ran roughly flat on a YoY basis throughout Q3. In particular, slower demand growth from appliances and white goods as the boost from trade-in programmes and export front-loading earlier in the year has waned, alongside a slowdown in domestic solar installations (following policy changes earlier this year), has offset strong autos export (in particular ICE).

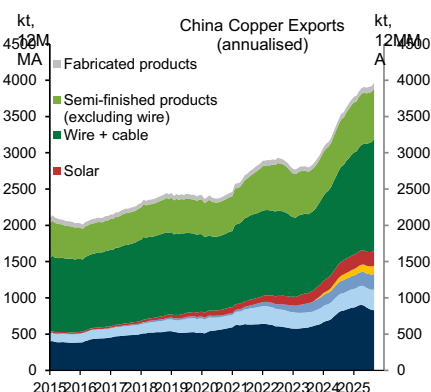
While it will be difficult to achieve positive Chinese copper and aluminium demand growth on a year-over-year basis in Q1 2026 due to high base effects, we expect demand growth to pick up later in the year reflecting continued growth from export-driven manufacturing, which we estimate has accounted for ~40% of China copper semis production growth this year (Exhibit 6), and a step-up in cyclical policy easing. As a result, we expect full-year 2026 Chinese copper demand growth to be only marginally slower than 2025 (Exhibit 8), while aluminium demand growth should slow slightly without the boost from solar.

Exhibit 6: Exports Have Driven Just Under Half of the Increase in Chinese Copper Semis Production This Year



Source: CRU, Wood Mackenzie, GTT, Goldman Sachs Global Investment Research

Exhibit 7: The Growth in Copper Exports Has Largely Been in the Form of Wire & Cable, as well as Other Finished Products



Source: GTT, Goldman Sachs Global Investment Research

However, because our upgrade to Chinese demand growth is export-driven and likely at the expense of other high-tech producers (such as Europe and Japan), we expect the impact to be largely offset by slower demand growth than we previously forecast in the rest of the world, limiting any tightening impact on our copper and aluminium global balances. We have revised lower our ex-China copper end-demand growth forecast for 2026 to +1.7% YoY (vs. +2.5% YoY previously), which, combined with a lower 2025 China demand base than anticipated, almost fully offsets the 2026 China demand growth upgrade. For aluminium, we now forecast ex-China global demand growth of +2.0% YoY (vs. +2.5% previously). These revisions reflect lower ex-China demand growth from transport and consumer/industrial (largely a reflection of higher Chinese exports). Meanwhile, grid and power infrastructure remains a major driver of our copper demand forecasts out to 2030 (especially outside of China, where ageing power grids are the vulnerable link for energy security, crucial for AI and defence). We have revised higher our datacentre copper demand growth forecast for 2026 to +12% YoY (vs. +4% YoY

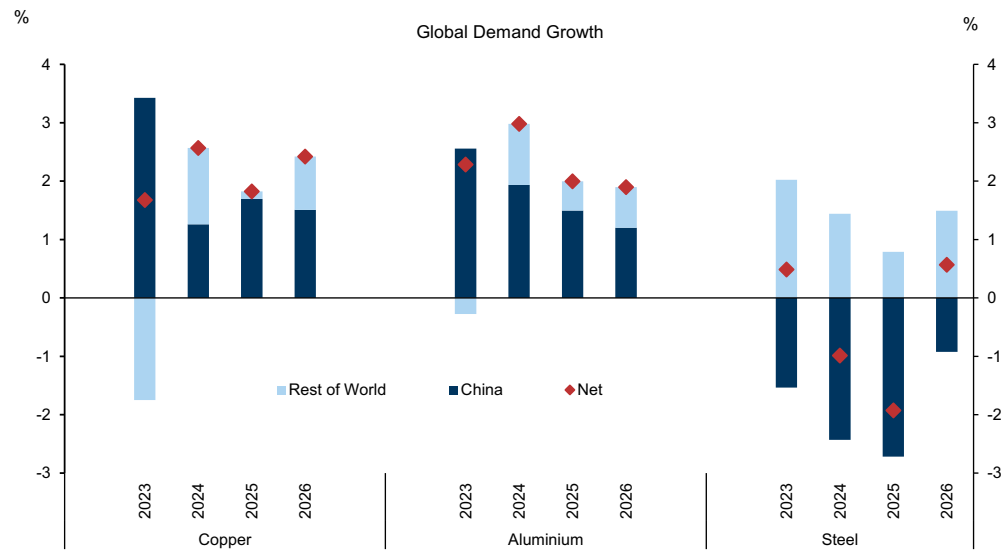
prior), but because datacentres only directly account for ~1% of global copper demand, this has a minimal impact on total copper demand. As a result, our global copper and aluminium balances are largely unchanged from our October updates despite the China economic growth upgrade, and we have kept our price forecasts from H2 2026 onwards unchanged.

China already has a large cost advantage in manufacturing (especially high-tech products) relative to other large economies due to low labour costs, cheap capital in favoured sectors, and low energy prices. As policymakers prioritise high-tech, value-add manufacturing, as well as ensuring sufficient metal availability to meet domestic demand growth from critical sectors such as defence, AI, and power infrastructure, they may seek to reduce exports of basic and semi-finished metal products. This will likely happen gradually via policies to disincentivise exports of low-value-add metal exports, for example by adding new export taxes. Last year China removed the export tax rebate on various semi-finished copper and aluminium products, having previously removed the export tax rebate on steel in 2021. Importantly, these low-value-add metals exports are crucial inputs into other countries' manufacturing sectors, meaning that higher China export barriers and increased domestic metal availability would further boost China's manufacturing competitiveness relative to the rest of the world².

For lithium, China remains the primary engine of global demand growth. We expect the bulk of the Energy Storage Systems (ESS) growth to come from China, where installations are being driven by stronger policy support to manage grid volatility and coal utilization, and improved economics. At the same time, we expect China's EV battery demand to grow by 21% YoY, maintaining a solid pace supported by continued subsidies, in contrast to the marked slowdown in ex-China EV markets. Meanwhile, we expect the drag from the property sector on steel demand to slow due to further property easing measures (and a reflection of the significant shrinking of the sector that has already occurred), with total Chinese steel demand contracting by just 2% YoY in 2026, from -6% YoY in 2025, and marking the smallest annual demand contraction since 2020 (Exhibit 8).

² This would raise the cost of Chinese-produced copper inputs for rest of world manufacturers by raising the price they need to pay in order to incentivise Chinese exports.

Exhibit 8: China Continues to Drive Global Base Metals Demand Growth in 2026, and Becomes Less of a Drag on Steel Demand Growth



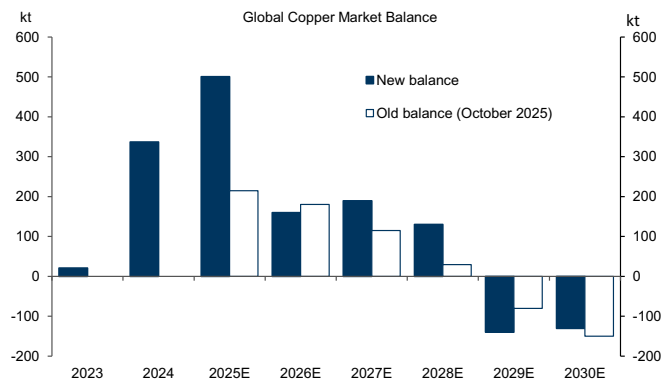
Copper and aluminium are semis demand.

Source: CRU, Wood Mackenzie, Goldman Sachs Global Investment Research

Copper: Our 'Favourite' Industrial Metal, But Prices Constricted to \$10,000-\$11,000 Range in 2026

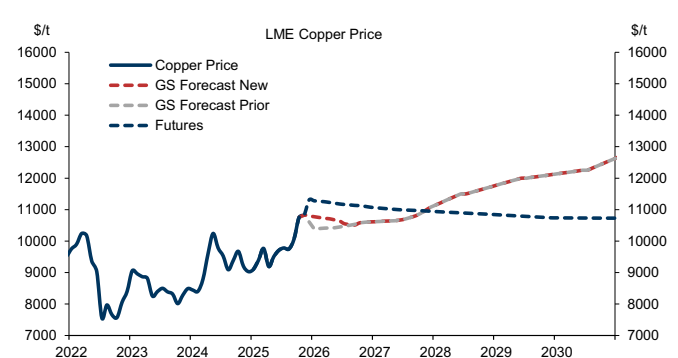
We expect the LME copper price to trade in a \$10,000-\$11,000 range over the next twelve months. We believe that the copper price floor is now firmly set at \$10,000 as resource constraints meet structural demand growth from critical sectors, but we expect any breakout above that range to be short-lived (as was the case in October), as correcting factors come into play and keep the market in a small surplus of 160kt next year (Exhibit 9). However, we expect inventory pull into the US before a potential mid-2026 refined copper tariff announcement to keep the LME price supported over the next three-to-six months, despite the global surplus, and therefore lift our H1 2026 LME copper price forecast to \$10,710 (vs. \$10,415 prior) (Exhibit 10).

Exhibit 9: We Expect the Copper Market to Remain in a Small Surplus Until 2029



Source: CRU, Wood Mackenzie, Goldman Sachs Global Investment Research

Exhibit 10: We Revise Our H1 2026 LME Copper Price Forecast to \$10,710 (vs. \$10,415 Prior)



Source: Bloomberg, Goldman Sachs Global Investment Research

We now expect the global copper market to end 2025 in a 500kt surplus (vs. 215kt previously). This surplus is the result of a material slowdown in Chinese copper demand in recent months, with Q4 2025 China refined demand growth now forecast at -7.8% YoY (vs. -1.3% previously) as the boost from stimulus policies (e.g. trade in programmes) and front-loading at the beginning of the year has waned. While our much smaller 2026 surplus of 160kt moves the market closer to balanced, it means that we do not expect the global copper market to enter a shortage any time soon.

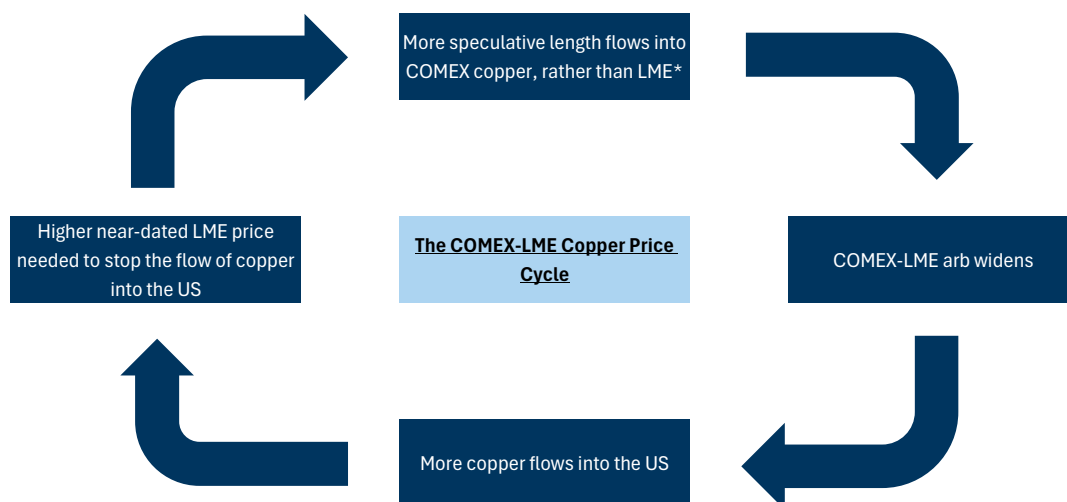
Copper is a major beneficiary of investments in grid and power infrastructure globally, as AI and defence heighten the need for robust and secure energy networks. Grid & power infrastructure drives over 60% of copper demand growth in our forecast out to 2030, adding the equivalent of another US to global demand. We expect China to remain the single largest driver, accounting for roughly half of this growth, but the US and Europe have a growing share as investment accelerates. However, we expect this structural demand growth to be partly offset by switching from copper to aluminium in cyclical sectors as the copper:aluminium price ratio reaches a new high of 4.5:1 in 2026, from an average of 3.8:1.

Meanwhile, multiple mining incidents this year, including at Kamoa-Kakula (DRC) in May, El Teniente (Chile) in July, and Grasberg (Indonesia) in September, have highlighted the growing structural challenges as ageing mines and more complex operations are driving a larger share of industry capital expenditure (capex) towards sustaining production levels. Consequently, established Western copper producers have reduced capacity to deploy growth capital, leading to the staggered (and therefore slower) implementation of projects and fewer overall growth projects. However, we think that the market is under-appreciating mine supply growth from marginal producers, in particular low-capex, price-responsive mines in the DRC and China, as well as the pace of recovery from Grasberg, for which the recent announcement that production would ramp up throughout 2026 was in line with our expectations. As a result, while we expect the full impact of this year's mine disruptions to be most visible in the refined market in H1 2026, with refined production down 2.1% YoY, and we expect a larger global visible stock draw than usual in Q2, this should not be enough to create a shortage in the global market (especially given the high global inventory starting point).

That said, we think that any stock build ahead of a refined tariff announcement next year is most likely to take place in the US, with a tightening effect on the LME market. This year, all of the 500kt surplus has been built in the US (Exhibit 5), tightening the rest of the world market (relative to expectations, although ex-US & ex-China stocks are not low by historical standards). We have previously flagged reaccelerating flows into the US as an upside risk to our price forecast, and now think this risk is likely to become reality as higher ex-US premia and conversations with physical traders point to traders agreeing full-year 2026 deals with producers at high premiums, securing volumes ahead of consumers. This will likely allow for a steady flow of metal into the US next year, resulting in ex-US visible inventory drawing again in 2026. While we believe that the market can prevent ex-US inventory reaching critically low levels via higher ex-US physical premiums and tightening LME spreads (which does not necessarily require a higher LME 3-month price), therefore closing the US physical import arbitrage, this could trigger new speculative length into the copper market, which in turn can move prices higher (as explained in the COMEX-LME Copper Price Cycle, Exhibit 11). Our base case is that following a recommendation from the US Commerce Secretary by end-June 2026, a

refined copper tariff of at least 25% will be quickly implemented in the US. As a result, we lift our H1 2026 LME copper price forecast to \$10,710 (vs. \$10,415 prior), but expect a small correction in H2 (post-tariff implementation), before the copper price resumes an upward trajectory.

Exhibit 11: The COMEX-LME Copper Price Cycle Poses Temporary Upside Risk to Our \$10,000-\$11,000 Copper Forecast Range



*Speculative length is more likely to be put on COMEX than LME due to (1) simpler contract date structure, (2) live pricing being easily available, and (3) macro investors being concentrated in the US.

Source: Goldman Sachs Global Investment Research

Owing to our expectation of diverging copper and aluminium prices, and the added upside risk to copper prices from the 'COMEX-LME copper price cycle', we continue to recommend going long LME Dec-27 copper and short LME Dec-27 aluminium.

Beyond 2026, we are bullish copper prices as constrained supply and structural demand growth from strategic sectors require higher prices in order to close the supply gap (emerging from 2029 onwards) via (1) incentivising new supply (largely mine life extensions), (2) demand destruction, and (3) higher scrap use. We recently introduced our GS Long Term Copper Incentive Curve and forecast the 2035 long-term LME price at \$15,000/t (\$11,500/t in 2025 USD terms), above both consensus and forwards.

Aluminium: Global Surplus to Become Visible From Mid-2026, Pushing Price Down to \$2,350/t by Q4

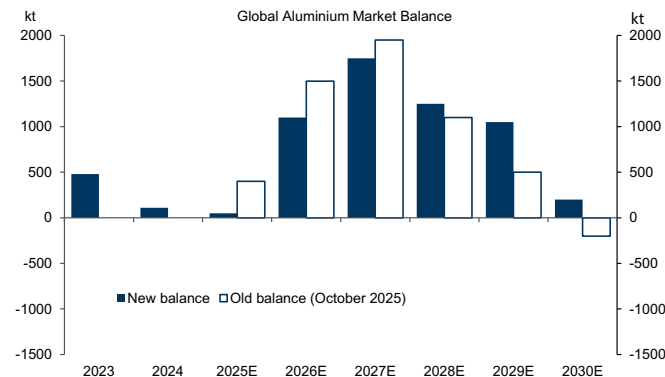
We maintain our bearish aluminium price forecast, expecting the LME price to decline to \$2,350/t by Q4 2026, driven by our estimated global aluminium surplus of 1.1Mt (1.5% of primary demand) in 2026. While this is smaller than our prior expectations (1.5Mt) due to stronger than expected Chinese demand growth in Q4 2025, which has tightened the 2026 starting point, and an upgrade to global 2026 demand growth due to copper-to-aluminium switching, we maintain the view that the current price is too high, and if prolonged will incentivise even more new supply than we currently forecast.

Exhibit 12: We Expect the LME Aluminium Price to Decline to a Low of \$2,350/t by Q4 2026



Source: Bloomberg, Goldman Sachs Global Investment Research

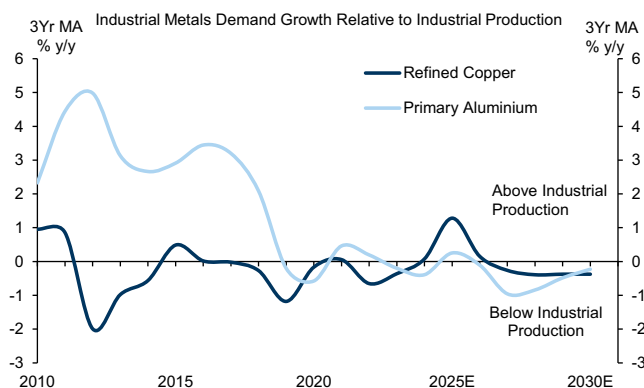
Exhibit 13: We Continue to Forecast a Sizeable Aluminium Surplus in 2026/2027, Which Could Be Larger If Prolonged High Prices Incentivise Additional Supply Growth



Source: CRU, Wood Mackenzie, Goldman Sachs Global Investment Research

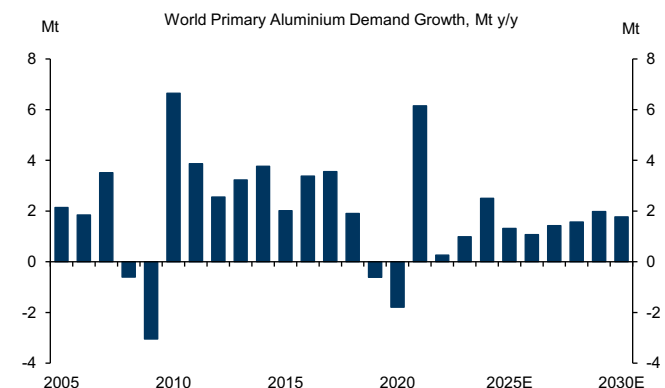
We forecast global total aluminium demand growth of 1.9% YoY in 2026 as base effects weigh on the growth rate in H1, increasing to ~+2.2% YoY from 2026-2030. Importantly, we highlight that the years of aluminium demand growth substantially outperforming both industrial production and copper demand growth are behind us ([Exhibit 14](#)), and annual primary aluminium demand growth has rarely exceeded 2Mt over the past decade ([Exhibit 15](#)).

Exhibit 14: Aluminium Demand Growth is no Longer Trending Above Industrial Production as The Boost From Cross-Sector Intensity Gains Has Diminished



Source: CRU, Wood Mackenzie, Goldman Sachs Global Investment Research

Exhibit 15: Annual Primary Aluminium Demand Growth Has Rarely Exceeded 2Mt Over the Past Decade



Source: CRU, Wood Mackenzie, Goldman Sachs Global Investment Research

We expect demand growth to continue in line with recent years as the cross-sector positive boost from intensity gains has diminished. While the continued shift towards aluminium-intensive EVs and price-driven copper-to-aluminium switching in the consumer & industrial sector should continue to support aluminium demand in 2026, the intensity gains from construction (timber and steel to aluminium), machinery (steel to aluminium) and ICE vehicles (steel to aluminium) that supported demand growth in the 2010s have slowed materially as the scope for further substitution has become limited.

In fact, we see a rising risk that consumers increasingly switch from aluminium towards steel due to the widening price differential. Despite aluminium's lightweight advantage in the manufacturing of EVs, there are numerous examples where autos producers have

used steel for cost-saving in more affordable models, and in late October US steel producer Cleveland-Cliffs announced that it was supplying steel-substitutes to autos customers impacted by disruptions at Novelis' aluminium plant. This could result in a larger aluminium surplus than we currently forecast, especially given that we see transport as the largest driver of global aluminium demand growth in 2026, posing downside risk to our price forecast.

Meanwhile, we do not forecast any demand growth from the solar installations in 2026 due to policy changes earlier in the year, and we expect the sector to account for just ~10% of total aluminium demand growth out to 2030, having accounted for 39% of global demand growth from 2019-2024. Instead, we see transport as the biggest driver of aluminium demand growth in 2026 and out to 2030 due to increased EV adoption, followed by grid and power infrastructure investment, which drives ~1/4 of aluminium demand growth throughout our forecast period (much less than for copper).

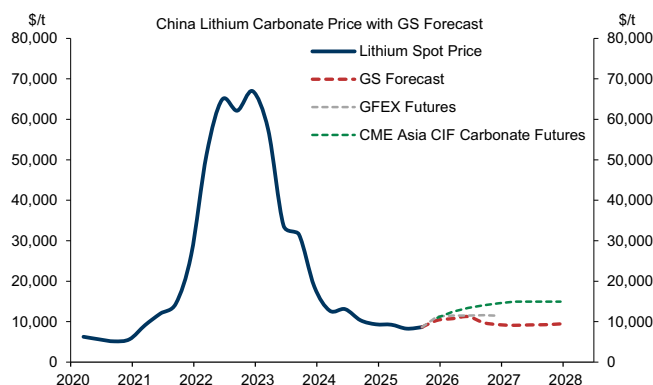
In contrast to demand growth, where we see the upside risks to our forecasts as limited over the next twelve months, we believe that current aluminium prices risk incentivising additional new supply vs. our forecast of +2.9% YoY in 2026. Following a significant decline in bauxite & alumina prices this year, as well as lower energy costs, aluminium smelters are on track for record profitability this quarter. We already forecast >800kt of supply growth from Indonesia (concentrated in H2) and >300kt of growth from India in 2026, offsetting slower growth from China as it approaches its capacity cap and pushes the market into surplus. To be clear, we expect China to hit its aluminium capacity cap in late 2026, but do not expect any power-related curtailments prior to then as China's spare power capacity should remain sufficient to accommodate its potential datacentre power demand growth alongside power demand growth from other industries. However, beyond the new supply that we include in our base case – which already drives the market into significant surplus in 2026/2027 – current prices are also high enough to incentivise production from 'new frontier' jurisdictions – namely, South East Asia, Central Asia and Africa – which we do not believe is required until post-2030.

The LME aluminium curve has already returned to contango, and we expect substantial downward pressure on prices to come in mid-2026 as the impact of Indonesian supply additions on global fundamentals becomes apparent.

Lithium: Demand Strength Keeps Market Tight ahead of Late 2026 Loosening

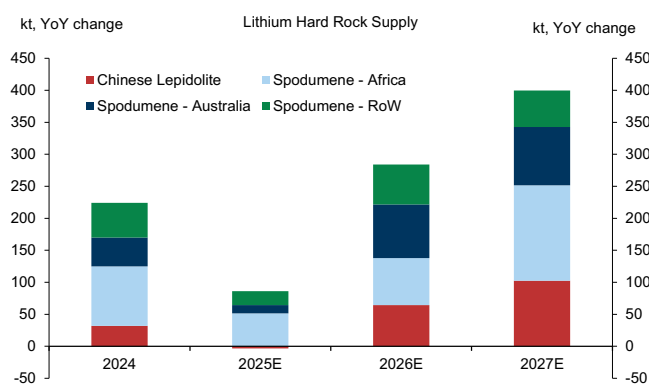
Lithium prices have surged in recent weeks, with China lithium carbonate rising from \$9,200/t in mid-September to above \$11,000/t. The sharp move reflects a material tightening in near-term balances, driven primarily by stronger-than-expected ESS demand and temporary lepidolite mine suspensions in China that have reduced available feedstock. We expect this tightness to persist in the first half of 2026, and forecast prices to remain firm at \$11,000/t, before easing to \$9,500/t in H2 as spodumene supply growth accelerates and curtailed lepidolite capacity restarts. Despite the rally, our 2026 forecast remains below current GFEX/CME forwards (\$11,683/12,367/t).

Exhibit 16: We Expect Prices to Remain Firm at \$11,000 in H1 2026, Before Easing to \$9,500 in H2 2026



Source: Bloomberg, SMM, Goldman Sachs Global Investment Research

Exhibit 17: We Expect Spodumene Supply Growth to More Than Double in 2026 and Lepidolite Suspended Assets to Restart in Q1



Source: Wood Mackenzie, SMM, Goldman Sachs Global Investment Research

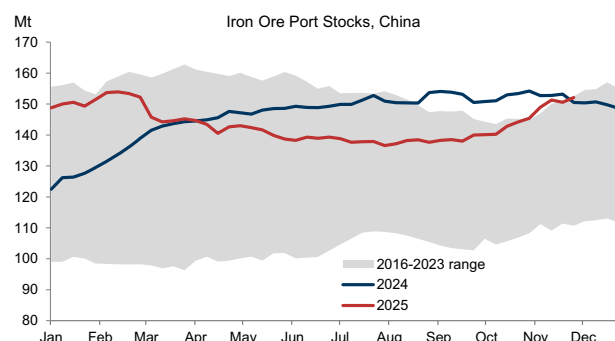
ESS strength remains the dominant driver of near-term tightness. We have revised our demand model to estimate ESS lithium consumption using battery production (true first-use) rather than installations. This methodological shift reveals materially stronger underlying demand, lifting our ESS forecasts to 736GWh in 2025/26 (from 413GWh) and total lithium demand to grow by 24% next year.

Near-term upside risks stem from delayed lepidolite restarts or further ESS outperformance. A shift in lepidolite restarts from Q1 to H2 2026 (removing ~30kt of supply) would tighten inventory days of demand cover to 49 days (from 54 days in our base case) and keep 2026 prices closer to \$11,000/t. A stronger ESS scenario (900GWh vs. our 736GWh forecast) would pull inventory cover down to ~30 days, consistent with our disorderly bull regime and implying prices above our \$11,500/t incentive levels.

Iron Ore: Price to Reach Below \$90/t By End-2026 as Chinese Port Stocks Rise

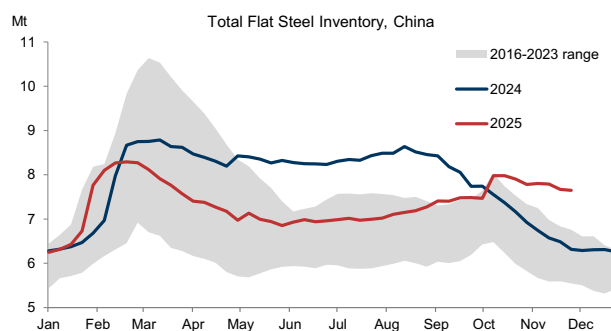
The iron ore price has traded in a \$100-108/t range throughout most of 2025, barring a mid-year low of \$92/t. While the market remained tighter than we expected in Q1-Q3 due to resilient Chinese hot metal production, and improving China growth expectations alongside the ongoing China Mineral Resources Group (CMRG)-BHP dispute have helped to support prices in recent months, both iron ore and the China steel sector have now returned to significant oversupply. China iron ore port stocks are approaching a record level for this time of year (Exhibit 18), and flat steel inventory is not drawing as it should be seasonally (Exhibit 19), resulting in declining steel-making profitability. While flat steel production has remained resilient, the build in iron ore stocks has been the result of strong shipments from Australia in recent months.

Exhibit 18: Iron Ore Port Stocks Are High Relative to Normal Seasonality



Source: Mysteel, Goldman Sachs Global Investment Research

Exhibit 19: The Chinese Steel Sector Has Returned to Oversupply

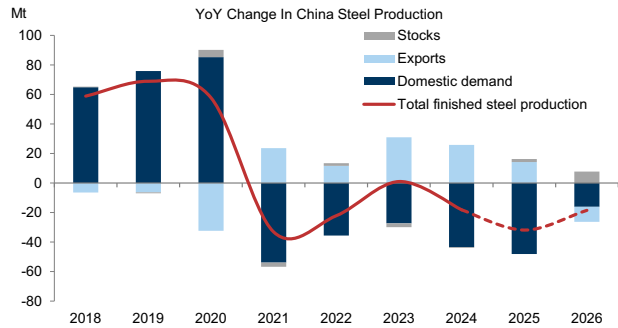


Source: Mysteel, Goldman Sachs Global Investment Research

In 2026, we expect Chinese iron ore port stocks to build by 51Mt as continued supply growth from Australia and Brazil is compounded by Simandou (Guinea) volumes hitting the market. We maintain our forecast for 20Mt of iron ore to be shipped from Simandou (Guinea) next year, although we note some downside risk to our forecast for Brazilian exports after Vale revised its 2026 production guidance lower this week. Meanwhile, we expect global seaborne iron ore demand to decline by 1% YoY. While we expect resilient steel demand from the Chinese export-focused manufacturing sector and construction to be less of a drag as the sector has already shrunk substantially in recent years, we forecast a 2% YoY decline in Chinese steel production in 2026 (Exhibit 20) as direct steel exports are no longer increasing sequentially. With China accounting for 80% of global seaborne iron ore demand, we do not expect this decline to be offset by higher ex-China seaborne iron ore demand (+3% YoY).

As a result, we forecast the SGX iron ore price to decline to \$88/t by the end of 2026 (Exhibit 21) (\$86 after accounting for the Platts index specification change to 61%Fe – from 62%Fe – from January 2, 2026) in order to push high-cost seaborne supply out of the market. Specifically, we expect Indian net exports to decline from 13Mt in 2025 to 8mt in 2026, with the country likely becoming a net importer if prices remain below \$90/t for a prolonged period, and we forecast a continued decline in China domestic production.

Exhibit 20: We Forecast a 2% Decline in China Steel Production Next Year, Reflecting Slight Declines in Both Domestic Demand and Steel Exports



Source: NBS, Mysteel, SMM, Goldman Sachs Global Investment Research

Exhibit 21: Our End-2026 Iron Ore Price Forecast of <\$90/t Sits Below Futures



Source: Bloomberg, Goldman Sachs Global Investment Research

Appendix: Supply/Demand Balances

Copper

Exhibit 22: Constrained Supply and Strategic Demand Growth Provides \$10,000 Floor to Copper Price, But We Don't Expect the Market to Enter Deficit Until 2029

World Copper Market Balance

'000 tonnes	2024	2025	2026	2027	2028	2029	2030
Market Balance							
Refined Production	27,040	27,833	28,147	28,846	29,406	29,781	30,373
Refined Consumption	26,703	27,332	27,987	28,656	29,276	29,921	30,503
Market balance	337	500	160	190	130	-140	-130
Reported inventories	785	1,157	1,262	1,442	1,562	1,452	1,362
y/y change	330	372	105	180	120	-110	-90
Production							
Mine Production before disruption allowance	23,001	23,369	24,517	25,356	25,777	26,091	26,495
Disruption allowance		1.0%	4.0%	5.0%	5.5%	6.0%	6.0%
Mine Production	23,001	23,135	23,536	24,088	24,359	24,525	24,905
y/y change	2.6%	0.6%	1.7%	2.3%	1.1%	0.7%	1.5%
Change in Copper Concentrate Inventories	(200)	(250)	(50)	-	-	-	-
Smelting loss	625	642	666	698	715	732	753
Scrap used in Smelting & Refining	4,464	5,090	5,226	5,456	5,761	5,987	6,221
y/y change	9.5%	14.0%	2.7%	4.4%	5.6%	3.9%	3.9%
Refined Production	27,040	27,833	28,147	28,846	29,406	29,781	30,373
y/y change	4.1%	2.9%	1.1%	2.5%	1.9%	1.3%	2.0%
China	12,061	13,225	14,200	15,000	15,250	15,500	16,000
World Ex-China	14,979	14,608	13,947	13,846	14,156	14,281	14,373
Consumption							
Total Copper Consumption	33,439	34,049	34,873	35,563	36,132	36,744	37,287
y/y change	2.6%	1.8%	2.4%	2.0%	1.6%	1.7%	1.5%
of which							
Grid & Power Infrastructure	10,797	11,363	11,910	12,284	12,634	13,092	13,451
EVs & Renewables	3,508	4,134	4,443	4,764	4,903	5,160	5,430
Electrification share of demand	43%	46%	47%	48%	49%	50%	51%
China Building	4,112	3,645	3,401	3,145	2,939	2,792	2,652
Traditional ex-China buildings	15,022	14,907	15,119	15,371	15,656	15,699	15,754
Scrap used at Mills (directly melted)	6,736	6,716	6,886	6,907	6,857	6,823	6,784
y/y change	1.5%	-0.3%	2.5%	0.3%	-0.7%	-0.5%	-0.6%
Refined Copper Consumption	26,703	27,332	27,987	28,656	29,276	29,921	30,503
y/y change	2.8%	2.4%	2.4%	2.4%	2.2%	2.2%	1.9%
China	15,232	15,843	16,325	16,739	17,171	17,702	18,188
World Ex-China	11,471	11,489	11,662	11,918	12,104	12,219	12,315
Total Scrap Consumption	11,199	11,806	12,112	12,363	12,618	12,810	13,005
y/y change	4.5%	5.4%	2.6%	2.1%	2.1%	1.5%	1.5%
Post consumer scrap collection rate, %	71	74	74	74	74	74	74
Copper price, \$/t	9,253	9,900	10,650	10,750	11,500	12,000	12,250

Source: CRU, Wood Mackenzie, SMM, ICSG, National Statistics, Company filings, BNEF, S&P Global Market Intelligence, Goldman Sachs Global Investment Research

Aluminium

Exhibit 23: We Expect the Global Aluminium Market Surplus to Expand to 1.75Mt by 2027 as New Indonesian Supply Ramps Up**World Aluminium Market Balance**

'000 tonnes	2024	2025	2026	2027	2028	2029	2030
Market balance							
Primary Production	72,822	74,132	76,301	78,277	79,344	81,079	82,049
Primary Consumption	72,712	74,081	75,201	76,527	78,094	80,029	81,849
Market balance	110	50	1100	1750	1250	1050	200
Total Inventories	9,670	9,720	10,820	12,570	13,820	14,870	15,070
As days of consumption	49	48	53	60	65	68	67
Reported Inventories	3,677	3,736	4,836	6,536	7,736	8,706	8,846
y/y change	64	59	1100	1700	1200	970	140
Production							
Primary Production	72,822	74,132	76,301	78,277	79,344	81,079	82,049
y/y change	3.0%	1.8%	2.9%	2.6%	1.4%	2.2%	1.2%
China	43,122	43,903	44,700	45,000	45,000	45,000	45,000
World Ex-China	29,700	30,228	31,600	33,276	34,345	36,080	37,050
Consumption							
Total Aluminium Consumption	100,865	102,881	104,832	107,084	109,505	112,082	114,742
y/y change	3.0%	2.0%	1.9%	2.1%	2.3%	2.4%	2.4%
of which							
Grid & Power Infrastructure	12,554	13,201	13,874	14,539	15,141	15,582	16,026
EVs & Renewables	9,037	10,506	11,550	12,175	12,909	14,329	15,767
Electrification share of demand	21%	23%	24%	25%	26%	27%	28%
China building	9,748	8,640	8,063	7,456	6,967	6,758	6,555
Traditional ex-China buildings	69,525	70,533	71,345	72,914	74,488	75,412	76,393
Primary Aluminium Consumption	72,712	74,081	75,201	76,527	78,094	80,029	81,849
y/y change	3.6%	1.9%	1.5%	1.8%	2.0%	2.5%	2.3%
Total Scrap Consumption	30,171	30,857	31,728	32,699	33,601	34,294	35,188
y/y change	1.6%	2.3%	2.8%	3.1%	2.8%	2.1%	2.6%
Scrap share of Consumption	29%	29%	30%	30%	30%	30%	30%
Aluminium price forecast, \$/t	2,457	2,600	2,500	2,400	2,650	2,700	2,750

Source: CRU, Wood Mackenzie, SMM, Bloomberg, Goldman Sachs Global Investment Research

Lithium

Exhibit 24: ESS-Driven Tightening in 2025-26E, Before Surplus Rebuilds as New Supply Arrives

Li ('000 tonnes LCE)	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E
Global demand											
Consumption - batteries	190	346	611	797	1085	1484	1816	1981	2193	2579	2961
% change y/y	37%	82%	76%	30%	36%	37%	22%	9%	11%	18%	15%
EV	104	242	393	526	662	863	1076	1181	1310	1595	1914
Battery Replacement		0	1	15	23	32	45	48	68	163	282
ESS	9	16	101	141	278	455	554	588	645	717	753
E-buses, two-wheeler EVs	20	24	34	39	46	55	62	75	88	105	120
Portable electronics	39	41	46	45	48	50	53	55	58	61	64
Other	18	23	37	45	52	61	71	81	91	102	111
Consumption - ex batteries	130	138	142	145	149	152	155	158	162	165	169
% change y/y	-2%	6%	3%	2%	3%	2%	2%	2%	2%	2%	2%
Ceramics	32	34	35	36	37	38	39	40	41	42	43
Glass-ceramics	27	28	29	30	31	32	33	33	34	35	36
Other	71	75	77	78	80	82	83	85	86	88	89
Global demand (incl. restocking)	340	551	849	1017	1312	1636	2034	2195	2419	2820	3170
% change y/y	20%	62%	54%	20%	29%	25%	24%	8%	10%	17%	12%
Global Refined Supply	371	506	730	1040	1378	1551	2013	2539	2853	3204	3552
Brine	168	227	300	356	470	560	738	864	979	1093	1211
China	36	60	79	112	124	145	243	288	321	355	389
Ex-China	133	167	221	244	346	415	495	577	657	737	822
Spodumene	190	234	347	544	736	822	1042	1339	1502	1697	1866
China	10	7	14	28	56	77	126	158	242	310	359
Ex-China	180	227	333	516	680	745	916	1181	1260	1386	1507
Other (Lepidolite or Clay)	13	45	83	140	172	169	233	336	373	414	476
China	13	45	83	140	172	169	233	336	363	389	441
Ex-China	0	0	0	0	0	0	0	0	10	25	35
World output	371	506	730	1040	1378	1551	2013	2539	2853	3204	3552
% change y/y		36%	44%	43%	32%	13%	30%	26%	12%	12%	11%
Total output (adj. for disruption)	371	506	730	1040	1378	1543	1953	2260	2339	2643	2913
% change y/y	25%	36%	44%	43%	32%	12%	27%	16%	4%	13%	10%
Battery Scrap Supply	4	10	49	84	68	100	110	85	103	193	290
% change y/y		2%	7%	8%	5%	6%	6%	4%	4%	7%	10%
Global Balance	35	-35	-70	108	134	7	28	150	24	16	33
as % of global supply	9%	-7%	-10%	10%	10%	0%	1%	7%	1%	1%	1%
Inventories	131	95	25	133	267	274	302	452	476	492	525
as days of demand	140	63	11	48	74	61	54	75	72	64	60

All volumes are reported in lithium carbonate equivalent (LCE). We apply an operational curtailment capped at 3% to reflect technical/operational disruptions, on top of any price-driven curtailments, which vary based on market conditions. We consider inventories at 100 days of consumption as a maximum the market can tolerate, but see 60-70 days as a sustainable level.

Source: Company data, BNEF, IEA, Wood Mackenzie, Goldman Sachs Global Investment Research

Iron Ore

Exhibit 25: We Expect the Global Iron Ore Market to Loosen in 2026 Due to Declining Seaborne Demand and New Supply

	2024	2025	2026	2025				2026			
				Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Iron Ore Traded Demand (wet)											
China (total consumption)	1,432	1424	1393	365	369	356	335	344	372	350	327
<i>YoY growth</i>	-3%	-1%	-2%	1%	-2%	2%	-3%	-6%	1%	-2%	-2%
Ex-China	334	335	343	82	83	83	86	87	86	84	86
<i>YoY growth</i>	2%	0%	3%	3%	-4%	0%	1%	6%	4%	1%	0%
India	0	0	0	0	0	0	0	0	0	0	0
Japan	96	97	96	24	24	25	25	24	24	25	23
South Korea	69	69	68	16	18	17	18	17	19	16	17
EU-27	65	70	74	18	21	15	16	19	23	16	16
North America (total)	1	2	2	1	1	0	0	1	1	0	0
Other	103	97	102	24	19	26	27	26	20	27	29
Global	1,767	1,759	1,736	447	452	439	421	431	458	434	414
<i>YoY growth</i>	-2%	0%	-1%	1%	-2%	2%	-2%	-4%	1%	-1%	-2%
Iron Ore Traded Supply											
Low-Cost Supply	1,593	1,614	1,666	363	415	430	406	376	435	437	418
<i>YoY growth</i>	2%	1%	3%	-1%	2%	4%	0%	4%	5%	2%	3%
Australia	938	945	975	215	248	242	240	221	265	246	243
Brazil	405	421	436	88	105	122	106	93	106	125	111
South Africa	64	66	57	17	17	18	15	14	14	14	14
Canada	61	62	63	13	16	19	14	13	15	19	15
Sweden	20	21	23	6	5	5	5	5	6	6	6
West & Central Africa	30	37	56	10	11	8	8	13	15	13	15
Chile	15	12	12	3	4	2	3	2	3	3	3
Peru	26	20	20	6	2	6	6	5	4	5	5
Iran	9	5	5	1	2	1	1	1	1	1	1
Ukraine	36	34	35	8	8	8	10	9	9	8	9
Russia	10	13	8	3	3	4	3	2	2	2	2
Flex Supply	186	123	102	59	39	14	11	43	34	17	7
<i>YoY growth</i>	-25%	-34%	-17%	-13%	-45%	-61%	-4%	-26%	-14%	26%	-36%
India	31	13	8	6	4	-1	4	3	2	3	1
China domestic (implied)	155	110	94	53	35	15	7	41	32	15	7
Global	1,779	1,737	1,768	422	454	444	418	420	468	454	425
<i>YoY growth</i>	-1%	-2%	2%	-3%	-5%	-1%	0%	-1%	3%	2%	2%
Iron Ore Balance											
Supply-Demand	12	-22	31	-25	2	4	-3	-12	11	20	12
Change in China port stocks	29	0	51	-3	-6	1	8	15	10	3	23
Iron Ore Price	109	101	93	103	97	102	103	98	94	92	88

'Global' iron ore supply and demand refer to seaborne market and China domestic only. Sum of seaborne supply excludes Swedish supply (kept within EU and not counted in EU traded demand). Canadian supply excludes exports to US. Iron ore prices is the second-month SGX contract. 'Low-Cost supply' refers to supply where costs sit below our price forecast.

Source: Mysteel, NBS, GTT, Goldman Sachs Global Investment Research

Exhibit 26: We Expect The Rate of Decline in Chinese Steel Demand to Slow Next Year

	2024	2025	2026	2025				2026			
				Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
Crude Steel Production											
China	1,002	969	950	259	256	231	224	240	253	237	219
YoY growth	-2%	-3%	-2%	1%	-5%	-3%	-5%	-7%	-1%	3%	-2%
Ex-China	876	875	905	221	222	217	215	222	229	223	231
YoY growth	0%	0%	3%	-1%	0%	2%	-1%	0%	3%	3%	7%
India	149	163	174	40	41	42	41	42	43	44	46
Japan	84	81	82	20	20	20	21	21	20	20	21
South Korea	64	62	62	16	15	15	16	16	16	15	15
EU-27	129	126	133	32	33	29	32	35	36	31	31
US	80	83	88	20	20	21	22	21	22	23	22
Other North America	26	25	28	7	6	6	6	6	6	8	8
Other	344	335	338	85	86	84	80	80	87	82	88
Global	1,879	1,844	1,854	480	477	448	439	462	482	460	450
YoY growth	-1%	-2%	1%	0%	-3%	-1%	-3%	-4%	1%	3%	2%
Finished Steel Production											
China	962	930	912	249	246	221	215	231	243	228	211
YoY growth	-2%	-3%	-2%	1%	-5%	-3%	-5%	-7%	-1%	3%	-2%
Ex-China	805	806	841	203	203	200	200	206	213	207	215
YoY growth	0%	0%	4%	-1%	0%	2%	0%	2%	5%	4%	7%
India	141	154	165	38	38	39	38	40	40	41	44
Japan	76	74	74	19	18	18	19	19	19	18	19
South Korea	61	59	59	15	14	15	15	16	15	14	14
EU-27	118	115	122	30	30	27	29	32	33	29	29
US	71	74	79	18	18	19	19	19	20	21	20
Other North America	24	22	25	6	6	5	5	6	5	7	7
Other	313	307	317	77	78	77	75	75	82	77	83
Global	1,767	1,737	1,753	451	449	421	415	437	456	435	425
YoY growth	-1%	-2%	1%	0%	-3%	-1%	-3%	-3%	2%	3%	2%
Steel Net Exports (finished & semi-finished products)											
China	109	123	113	28	32	32	31	30	29	28	27
YoY growth	31%	13%	-8%	17%	22%	17%	-1%	5%	-11%	-13%	-13%
Ex-China	-109	-123	-113	-28	-32	-32	-31	-30	-29	-28	-27
YoY	-31%	-13%	8%	17%	22%	17%	-1%	5%	-11%	-13%	-13%
India	-2	-2	-1	0	0	-1	-1	0	0	0	0
Japan	25	24	24	6	6	6	6	6	6	6	6
South Korea	14	15	14	4	4	4	4	4	3	3	3
EU-27	-21	-24	-22	-5	-6	-6	-6	-4	-6	-6	-6
US	-16	-14	-13	-4	-4	-2	-3	-4	-4	-2	-3
Other North America	-21	-17	-16	-5	-5	-4	-4	-4	-5	-3	-4
Other	-88	-105	-99	-24	-26	-29	-27	-26	-24	-25	-24
Finished Steel Apparent Demand											
China	855	807	790	213	217	188	189	186	217	199	188
YoY growth	-5%	-6%	-2%	2%	-10%	-8%	-5%	-12%	0%	6%	0%
Ex-China	915	929	955	230	236	231	232	235	242	236	242
YoY growth	3%	2%	3%	1%	2%	3%	0%	2%	3%	2%	4%
India	142	154	165	38	38	39	39	40	40	41	44
Japan	52	50	51	12	12	13	13	13	13	12	13
South Korea	48	44	46	11	11	11	11	12	12	11	11
EU-27	141	142	145	34	36	35	36	36	38	35	35
US	87	89	92	22	22	22	22	23	23	23	22
Other North America	44	39	41	11	11	9	9	10	10	10	11
Other	401	411	416	101	105	103	101	102	105	102	107
Global	1,770	1,736	1,746	443	452	419	421	422	459	434	430
YoY growth	-1%	-2%	1%	1%	-4%	-2%	-2%	-5%	1%	4%	2%

Source: World Steel Association, NBS, GTT, Goldman Sachs Global Investment Research

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Disclosure Appendix

Reg AC

We, Aurelia Waltham, Eoin Dinsmore and Lavinia Forcellese, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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